

MODULE 8: MANAGEMENT PROCESS AND FUNCTIONS:

NATURE AND DESCRIPTION OF MANAGEMENT PROCESS

Learning Objectives

- Understanding of Management Process
- Implications of Management Process

1. Management Process

A process is a systematic way of doing things. Management is referred to as a process to emphasize that all managers, regardless of their particular aptitudes/ skills, engage in certain interrelated activities in order to achieve their desired goals. Since the late nineteenth century, it has been a common practice to define management process in terms of four specific functions of managers-planning, organizing, leading and controlling.

Hence, management process is taken to mean Planning, Organizing, Leading and Controlling to make sure the objectives or tasks are achieved. Commonly, management is always referred to as a process, an ongoing continuous, systematic way to doing things. To achieve the objectives the four functions of management: Planning, Organizing, Leading and Controlling need to be carried out on an ongoing systematic way for some period of time depending on the type of objective.

2. Management as a process has the following implications

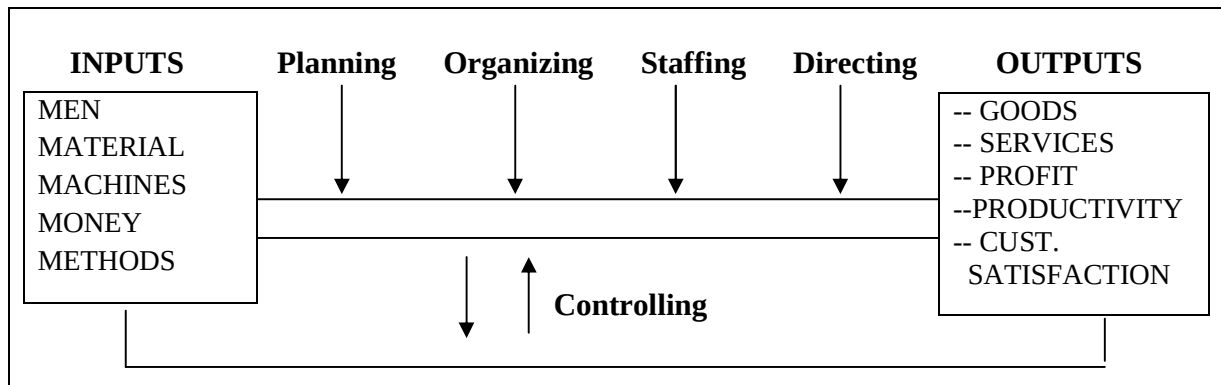
- I. **Management as Social Process-** Since human factor is most important among the other factors, therefore management is concerned with developing relationship among people. Management process involves interaction among people. Goals can be achieved only when relations between people are productive. Human factor is the most important part of the management.
- II. **Management as Integrated Process-** management process brings together human, physical and financial resources. Management process also integrates human efforts so as to maintain harmony among them.

III. **Management as Iterative Process**-All managerial functions are contained within each other. For example, when a manager prepares plans, he is also laying down standards for control.

IV. **Management as Continuous Process** - It is a never ending process Management involves continuous identifying and solving problems. It is repeated every now and then till the goal is achieved.

3. Management process and its elements

Management is a process of integrating both physical as well as human resources to seek objectives. It is human and social process directed at individuals to get things done by them. Like other processes, it consists of many actions or activities or functions which are to be carried out in a logical sequence. A brief description of the steps involved in the process of management is given below.



The Process of Management

Planning:

- Commonly referred to as a basic management function. It is a process of determining objectives, developing alternative courses of actions and selecting the best course of action for achieving objectives.
- Planning involves the formation of what is to be done, how, when and where it is to be done, who is to do it and what results are to be evaluated.
- Planning means looking ahead, it is mental work, it is selecting from among many choices

Organizing:

- Careful organizing, like planning, helps in making efficient utilization of human resources. It is a process of establishing working relationship among employees. The various activities are assigned to them, authority is granted to them, and they are brought in the relationship of superior and subordinate.

- The process of organizing involves creation of various units or departments, assigning group of activities to them with enough authority and finally, seeking co-ordinate functioning of these in the context of the entire organization.
- It means, organizing people, materials, job, time etc., and establishing framework in which responsibilities are defined and authorities and laid down.

Staffing:

- Once the structure of an organization has been brought into existence by determining role and relationship of various positions, the next critical stage is manning these by individuals. Staffing is a process of determining quality and quantity of human force needed for the organization.
- Staffing involves the developing and placing of qualified people in the various jobs in the organization. Staffing is the process by which managers select, train, promote and retire their subordinates.
- Staffing is a continuous process. The aim is to have appropriate persons to move into vacated positions newly created in the enterprise.
- Function of staffing is from **Recruitment to Retirement (RR)**

Directing

- Directing is the process of helping and guiding subordinates to achieve objectives of the organization.
- Basically, in the process of directing, the manager issues necessary orders and instructions to subordinates regarding the work which has been assigned to them. He educates and guides them regarding various methods of doing the work and finally, he supervises the work being performed by them on a regular basis.
- In the process of directing, three elements are involved, namely, **communication, motivation and leadership**. In brief, for directing the activities of subordinates, a two-way communication has to be maintained and simultaneously, the manager has to motivate the subordinates and provide a dynamic leadership.

Controlling

- Controlling is a process of ensuring that each and every activity has been performed in a planned manner and in conformity with pre-determined standards of performance.
- It is essentially a process, whereby standards of performance are determined for every employee and his actual performance is measured and then compared with these standards, as to find out deviations and taking remedial measures to improve performance.

- The process of controlling includes all activities, actions, procedures and methods used by managers for bringing actual results nearer to the desired results.

4. Description of Management Process

- The management process essentially consists of various steps which are known as functions or elements of management such as planning, organizing, staffing, directing, and controlling.
- These functions or elements of management are primary or basic in nature. They are performed by every manager in all situations to get things done by others. In practice, there are numerous other functions, known as subsidiary functions, like reporting, budgeting, forecasting, representation and innovation, etc.
- Planning is a starting point of the management process followed by other functions. Without planning, there is little organizing, staffing, directing and controlling.
- The management process operates through these functions which may be considered as sub-processes of management. All these sub-processes contribute to the functioning of the management process, deriving essential strength and power from it.
- Being sub-processes, all the management functions are closely related, interdependent as well as independent. The functions are performed by managers independently.
- In the process of management, the above mentioned functions are performed for seeking goals. Therefore, they are considered as a means of achieving goals. It is only by performing these functions efficiently and in logical sequence that better results can be obtained from resources, human and material.

Reference:

1. L.M. Prasad, Principles & Practice of Management, Sultan Chand & Sons, 1999, ISBN: 81-7014-024-2
2. B.S. Moshal, Management Theory and Practice, Galgotia Publishing Company, 1998, ISBN: 81-85989-26-5